ECON4200M – Midterm Presentation

Household Expenditure and Consumption Patterns in Hong Kong, 1999-2019

Group 4

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1 Chapter One

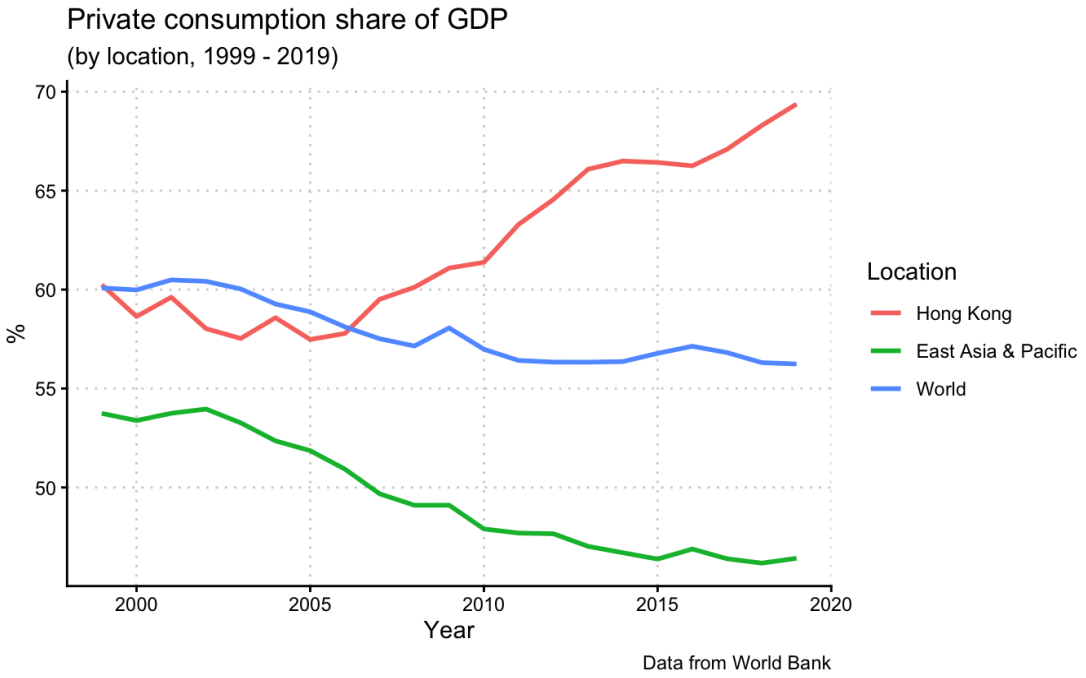
Research Question

Establishing the research context and problem statement

Research Question

Background and Context

Hong Kong's private consumption as a share of GDP has risen steadily since the mid-2000s, reaching nearly 70% by 2019.
This upward trend diverges clearly from the declining share in the East Asia & Pacific region, as well as the stable world average.



Research Question

Motivation

Hong Kong's **market-oriented economy, low taxation, and limited welfare system** create a unique environment for household consumption. Against this backdrop, the rising private consumption share of GDP – in contrast to regional and global trends – highlights distinctive spending patterns in one of the world's most expensive cities.

This motivates our study to document how household expenditure has evolved from 1999 to 2019.

Research Question

Core Research Question

What are the key patterns and trends in household expenditure and consumption in Hong Kong, from 1999 to 2019?

Study Objectives

1. To document the **trends** in nominal and real (inflation-adjusted) household expenditure
2. To examine the **composition** of household expenditure across different types of housing
3. To **compare** Hong Kong's consumption patterns to other Asian economies

2 Chapter Two

Literature Review

Theoretical frameworks & recent empirical studies

Key Studies and Findings

Literature Review

Table 1: List of relevant studies and papers reviewed

Study	Title	Key Model/Method	Key Finding
Chai et al. (2024)	Household spending diversity, aggregation, and the value of product variety	Empirical analysis using household expenditure data (1990-2015). Theoretical model built on emphasizing and analyzing the difference between household levels.	Households are different in taste and preferences. Budget share changes with income in non-proportional way. Richer households may tend to concentrate their spending on specific preferred categories.
Richard Anker (2011)	Engel's Law Around the World 150 years later	Cross-country and within-country analysis on food share of household expenditure and national income per capita. Separate analysis by World Bank development levels. Standardize food expenditure definition, excluding alcohol and tobacco.	Engel's Law is still valid in most cases. The proportion of household expenditure on food declines as income per capita increases, both across countries and within countries. The declining income elasticity on food has important implication on poverty and cost of living measurement.
Ho & Chiu (2002)	Impact of Accessibility on Housing Expenditure and Affordability in Hong Kong	Analysis private rental housing market data with accessibility. Examination of how location affects housing and other expenditure.	Housing cost can be sticky and rise with location preference. Households selecting and living in houses that are more accessible and with higher quality have higher housing expenditure. Income affects the preference on housing selection.

The review identified: (1) the importance of analyzing within household levels (2) Engel's Law still applies in most cases. (3) Income affects the preference on housing selection.

3 Chapter Three

Data & Methodology

Data collection & analytical methods

Data Sources

Consumption & expenditure data, 1999-2019

Analysis	Datasets	Source
Aggregate	• National income & expenditure • Consumer price level	• World Bank • Census and Statistics Department, Hong Kong
Micro-level	• Household expenditure in Hong Kong	• Census and Statistics Department, Hong Kong
Comparative	• Household expenditure in comparable countries	• World Population Review • **(Japan)** Statistics Bureau of Japan • **(Singapore)** Singapore Department of Statistics • **(South Korea)** Ministry of Data and Statistics

Research Methodology

◎ Descriptive analysis

1. **Document the evolution of consumption pattern**

   Trends in **expenditure relative to income** in macro and micro level

   a) Trends in **expenditure relative to income** in macro and micro level
   b) Examine the **composition** of household expenditure using micro data
   c) Control the effect of changes in **consumer prices**

2. **Comparison between households**

   a) Different consumption pattern between **public, subsidized and private housing** household in Hong Kong
   b) Benchmark to developed Asian countries: Singapore, Japan, Korea

4 Chapter Four

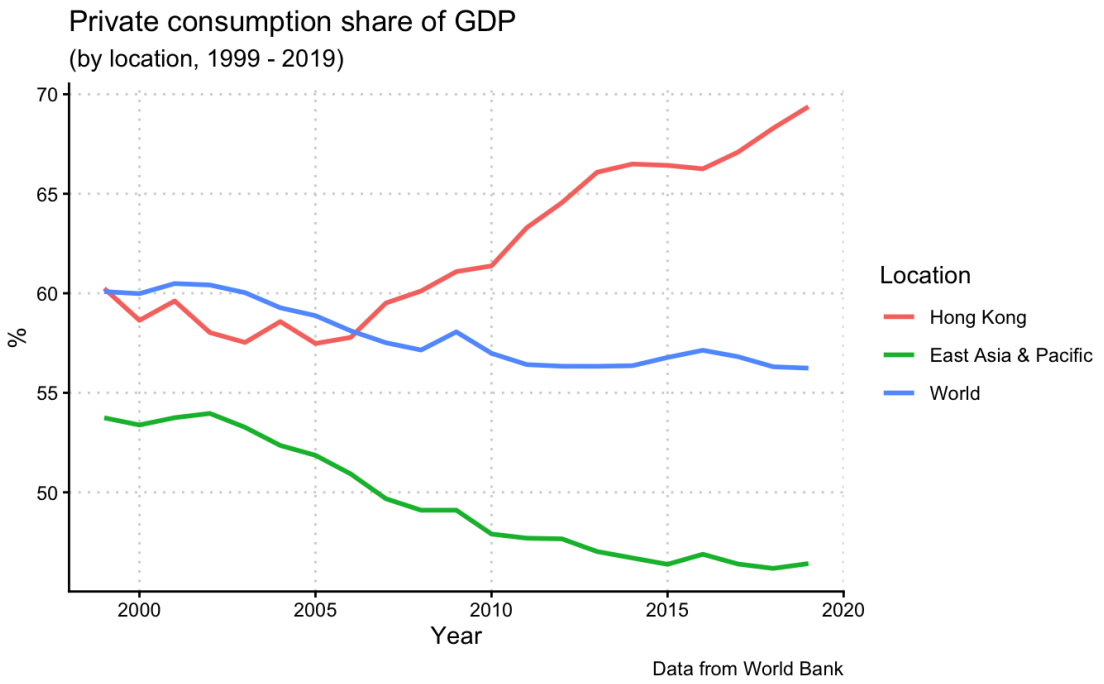
Results

Presentation and analysis of household expenditure and consumption patterns in Hong Kong (1999-2019)

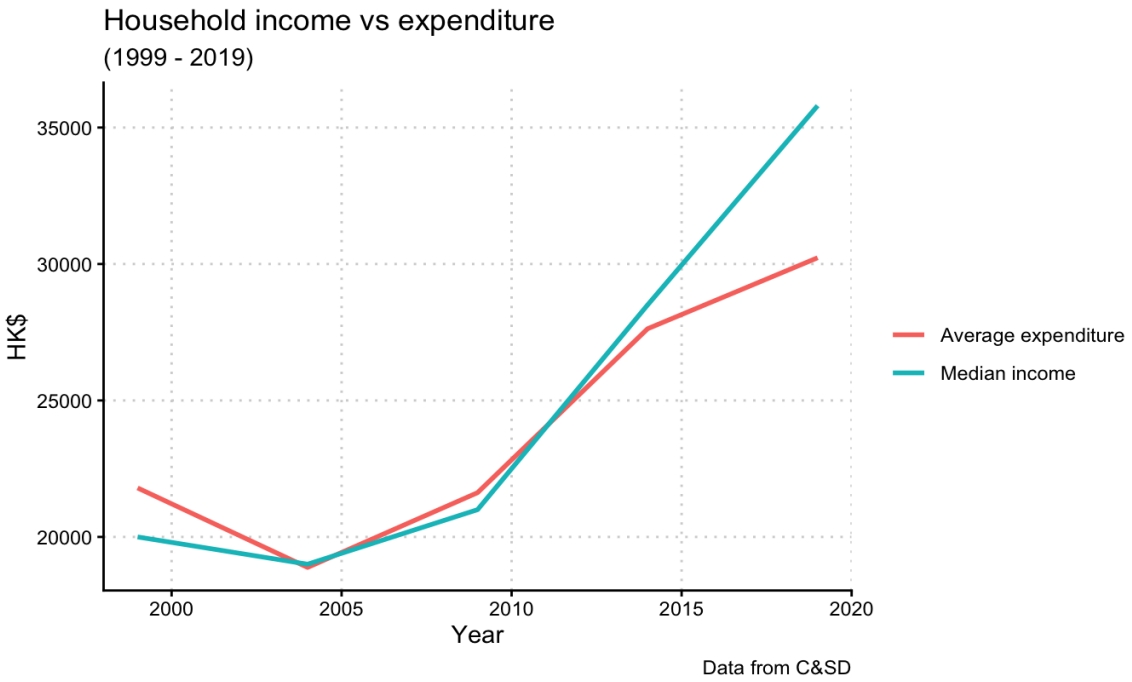
Private Consumption and Household Expenditure in Hong Kong

Consumption in macro vs micro level

- Hong Kong's private consumption as a share of GDP rose steadily from the mid-2000s to 2019 at almost 70%



- Median household income in Hong Kong showed growth after 2010, diverged from average household expenditure in later years

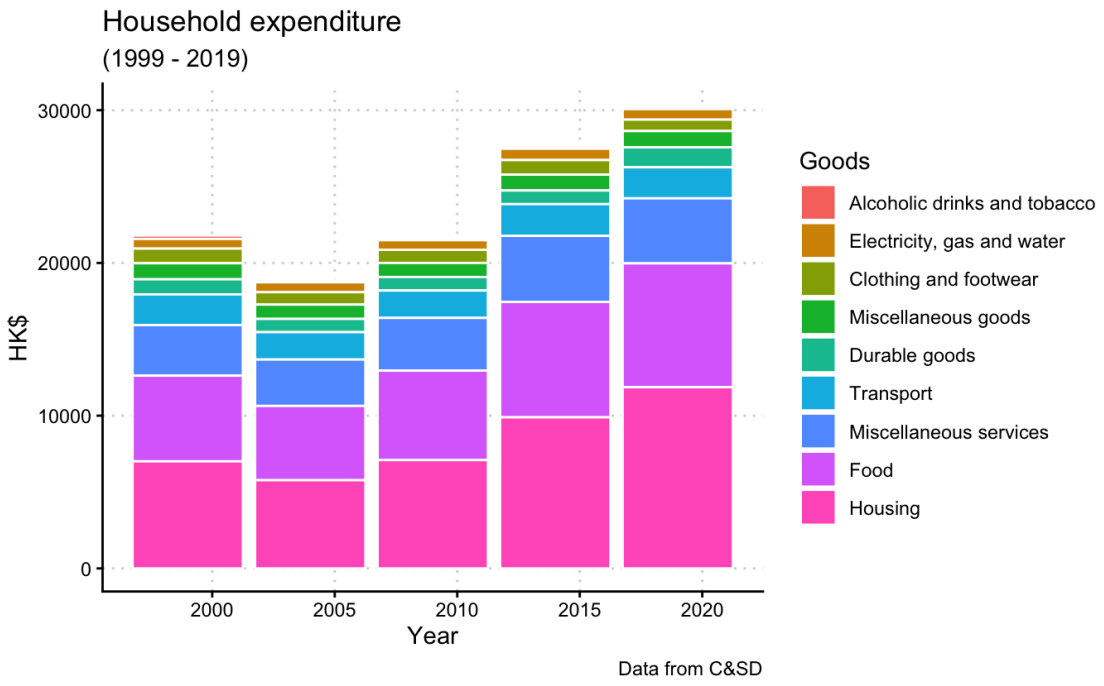


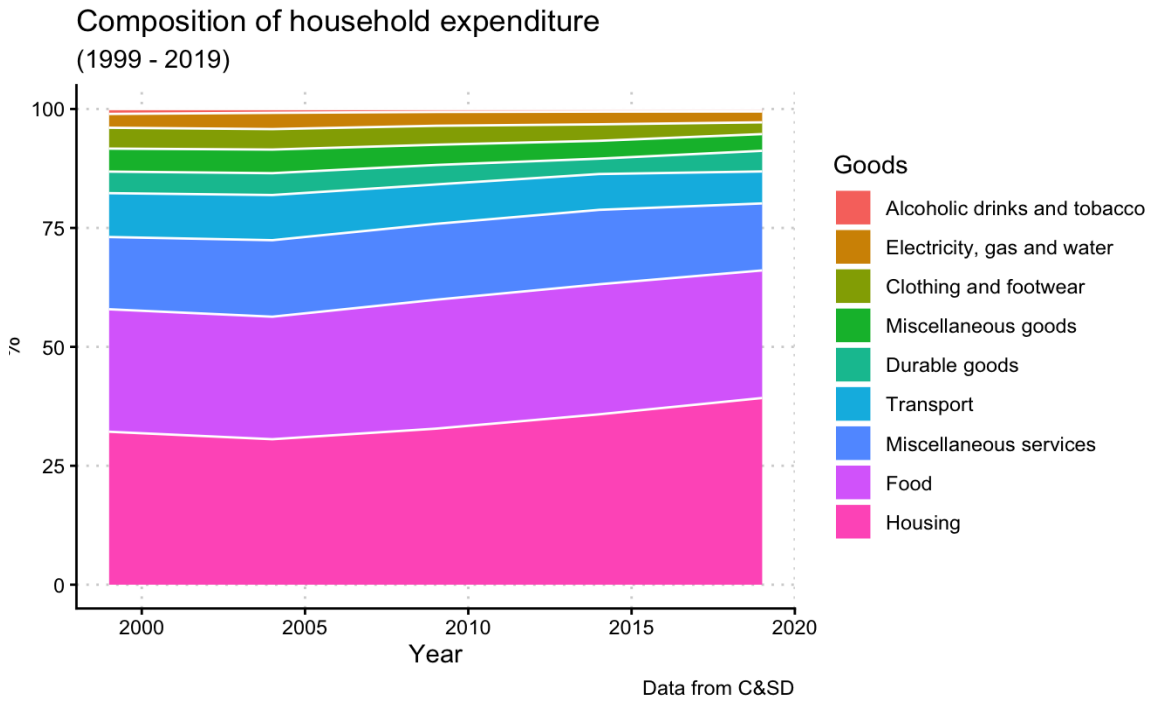
Expenditure increased over mid-2000s to 2019

Composition of Household Expenditure

Breakdown by commodity group

- Average monthly household expenditure in HK rose steadily from around HK$19000 in 2005 to HK$30000 in 2019
- Housing remained the dominant component (30-40%), followed by Food (27%) and Miscellaneous Services (15%)

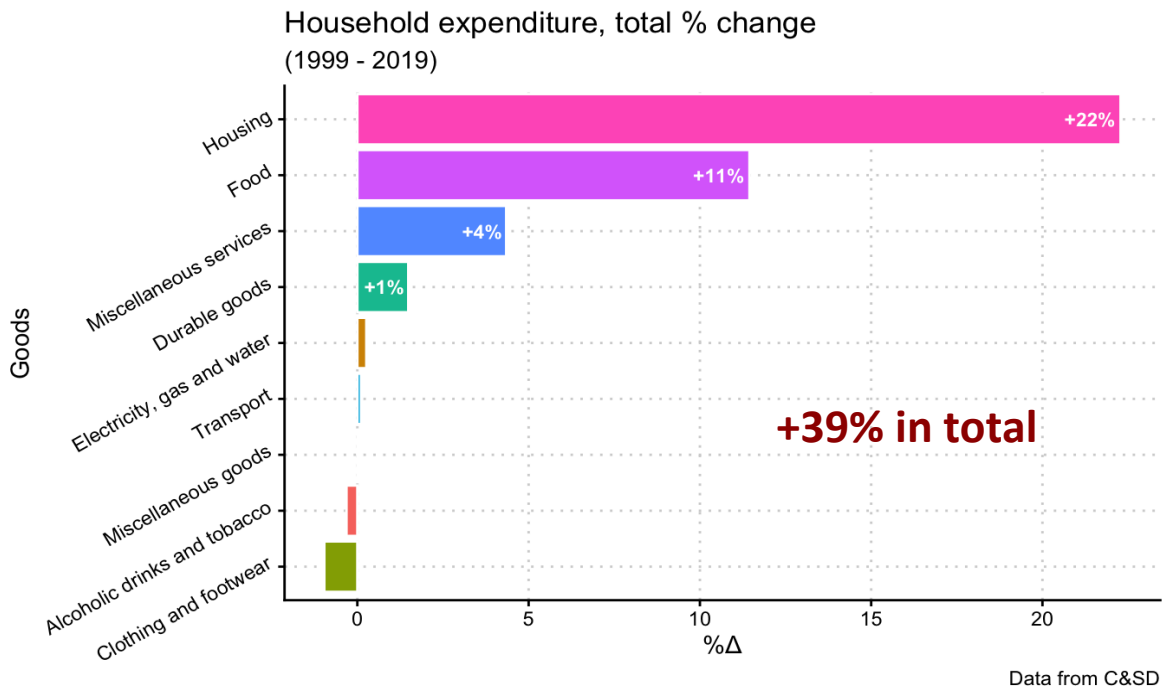




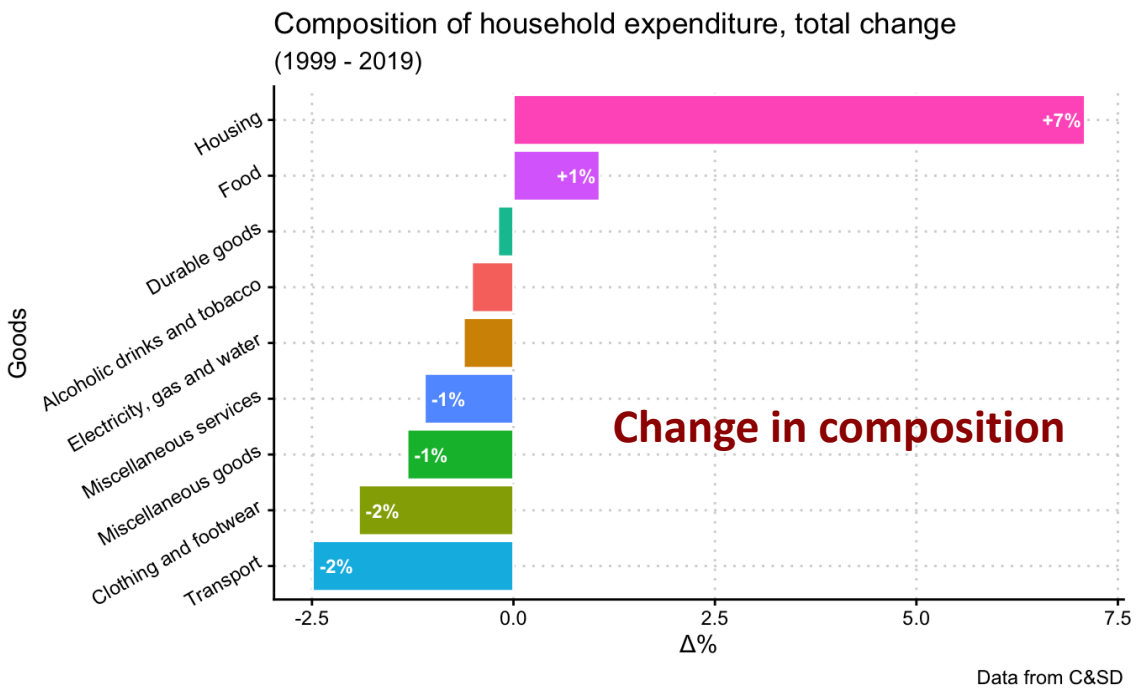
Change in Household Expenditure

Changes across different commodity groups (1999-2019)

- Housing contributed the largest share of increase in household expenditure (+22% out of +39%), followed by Food and Miscellaneous Services



- Household shifted most of their consumption into Housing and some into Food from other commodity groups

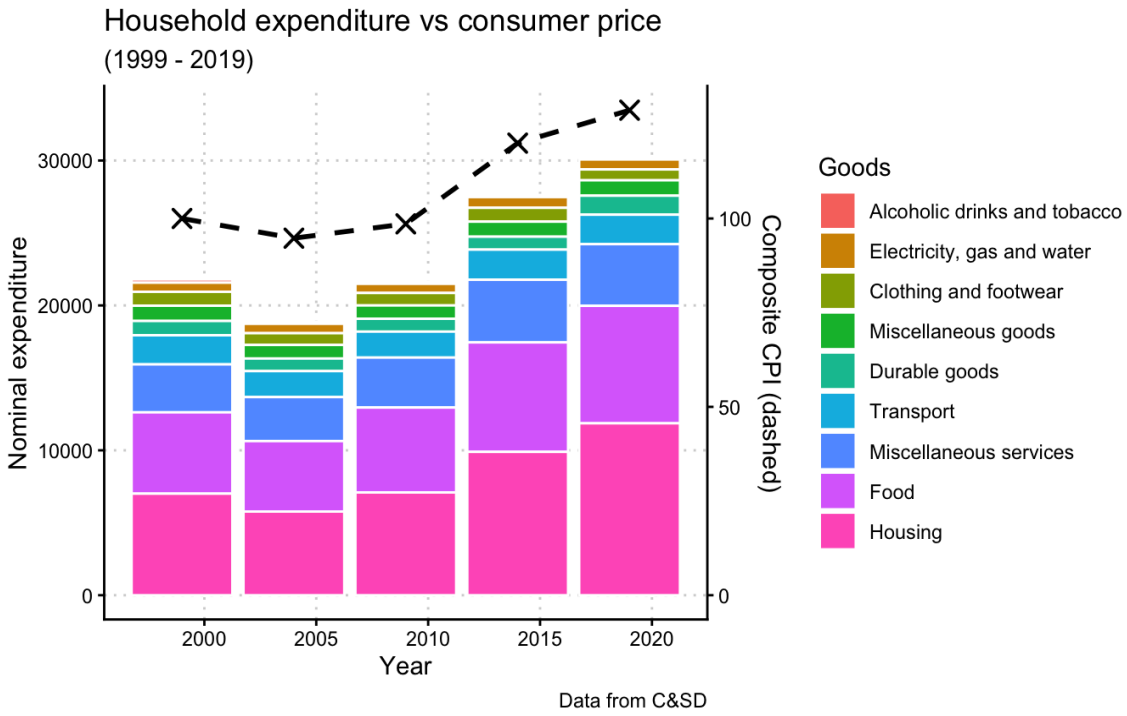


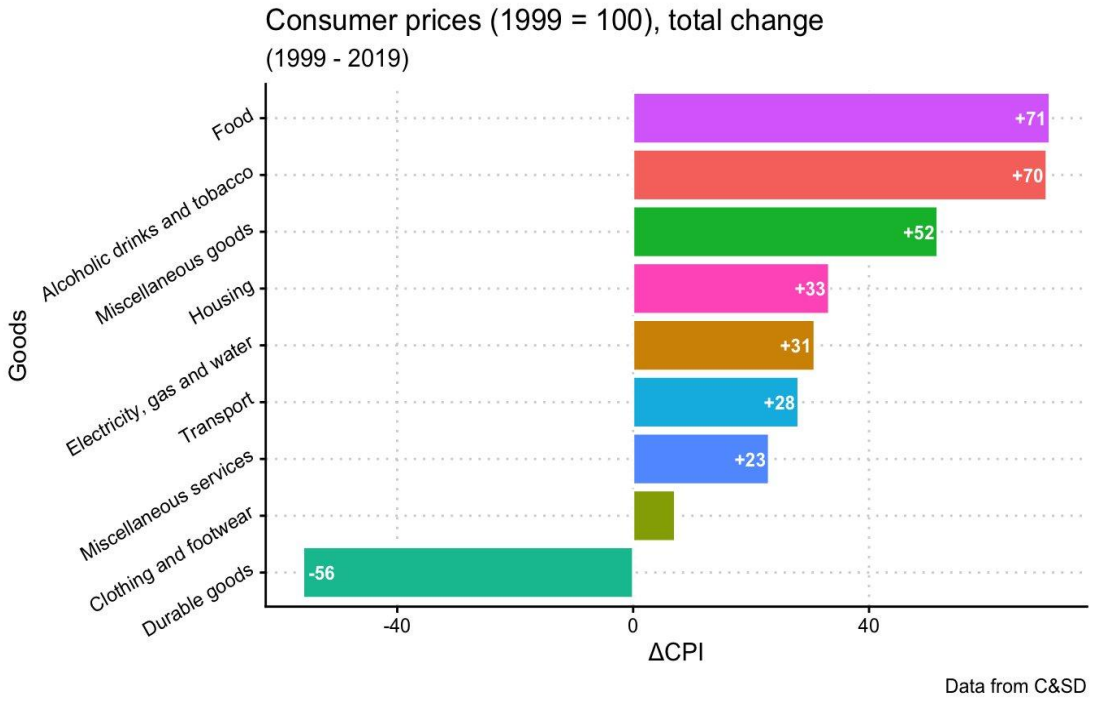
Change driven by increases in necessities, primarily housing and food; Housing burden increased over the period

Consumer Price Index (CPI) and Household Expenditure

Impact from Inflation?

- The trend for nominal household expenditure closely tracks the composite CPI
- Raises the question whether the observed increase in expenditure is primarily attributable to inflation, or a real rise in consumption volume or living standards?

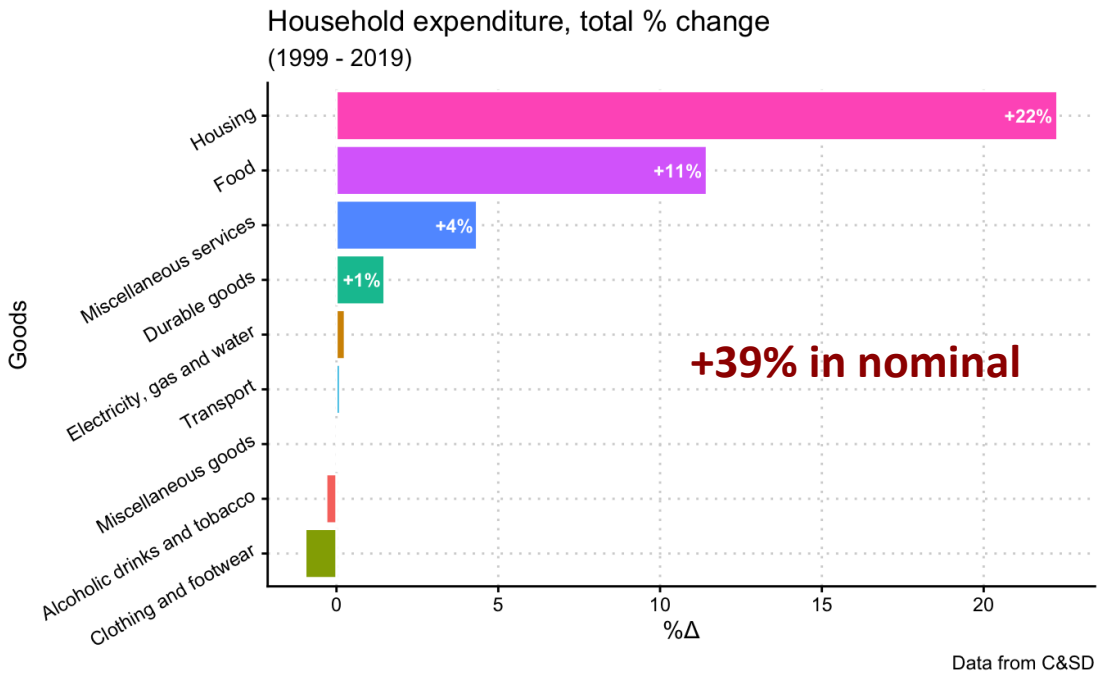


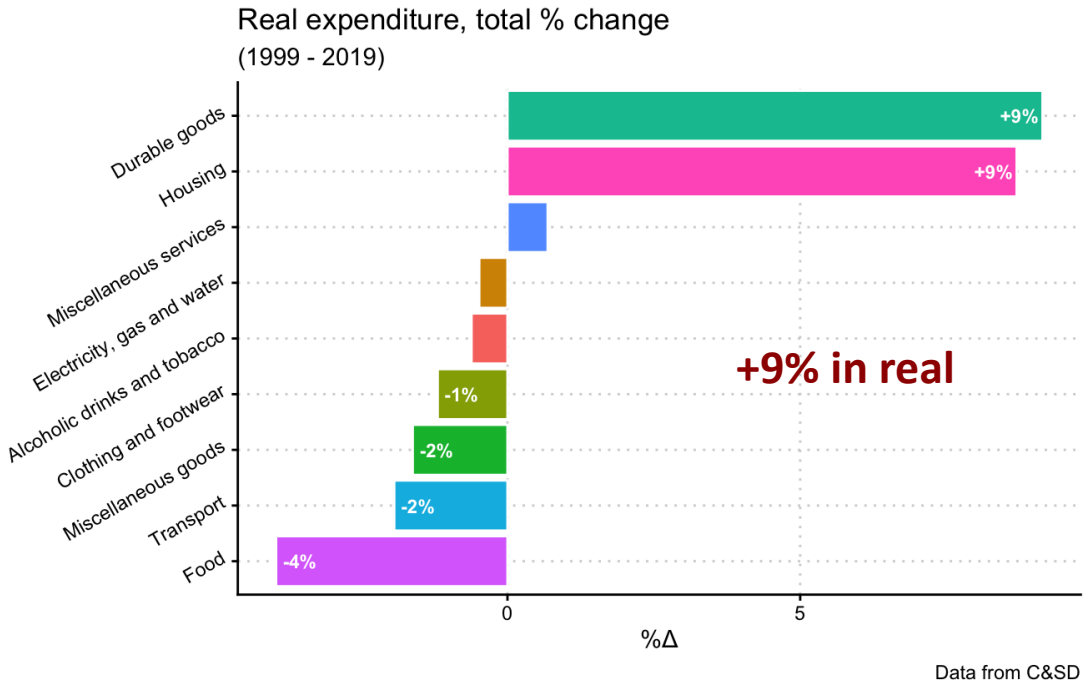


Household Expenditure in Real Terms

Changes across different commodity groups (1999-2019) – nominal vs real

- After adjusting for inflation using the CPI, real expenditure grows much more modest, +30% out of +39% are explained by inflation
- Durable goods and Housing recorded real increases (+9% and +5% respectively), while Food experienced a decline (-4%).
- Most other categories showed only minor real changes



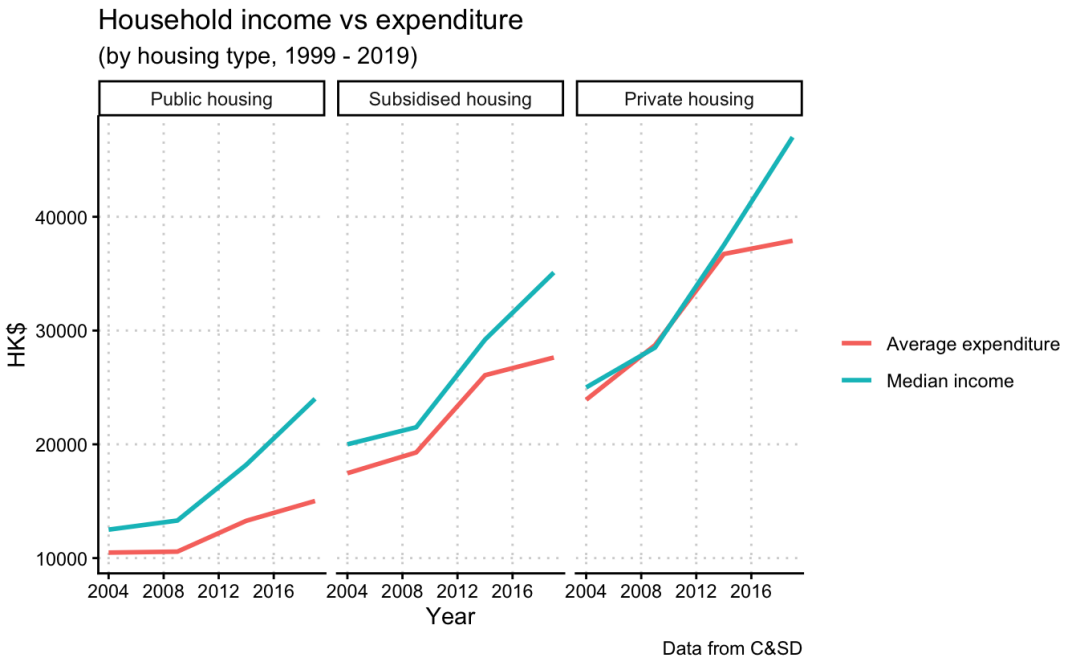


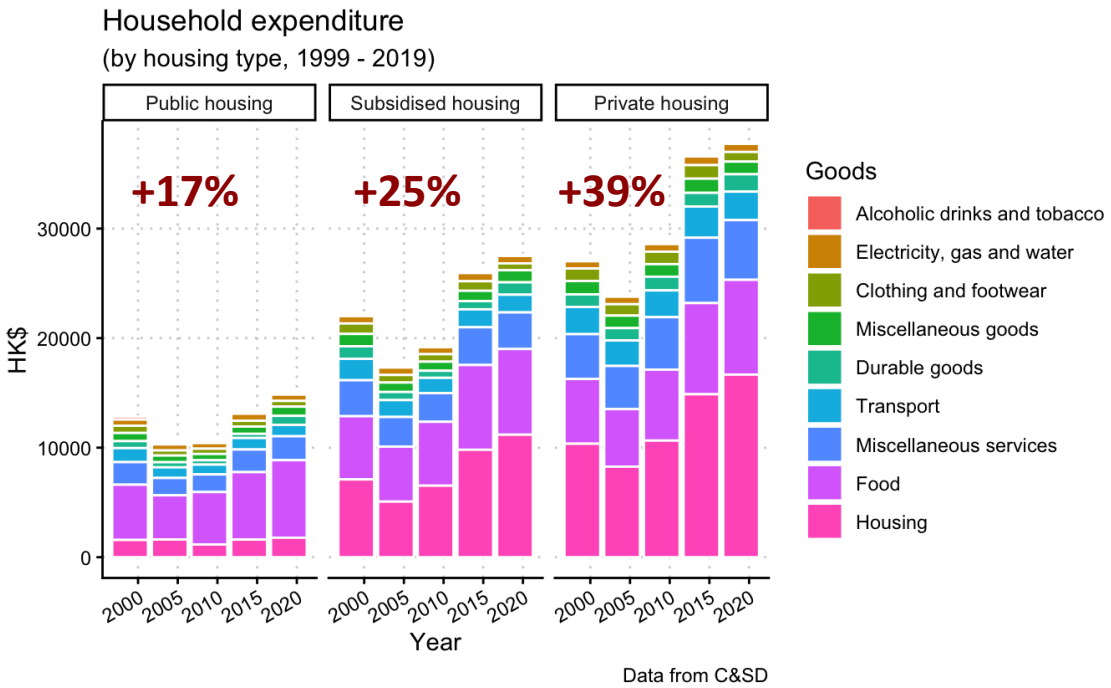
In real terms, housing and durable goods consumption increased, while food consumption decreased

Household Expenditure by Housing Type

Expenditure and income by housing type

- Expenditure uniformly increased across all housing type, but not in the same speed (+17%, +25%, +39%)
- Higher portion of income were consumed for less degree of housing subsidization
- Consistent with the Housing driven expenditure pattern



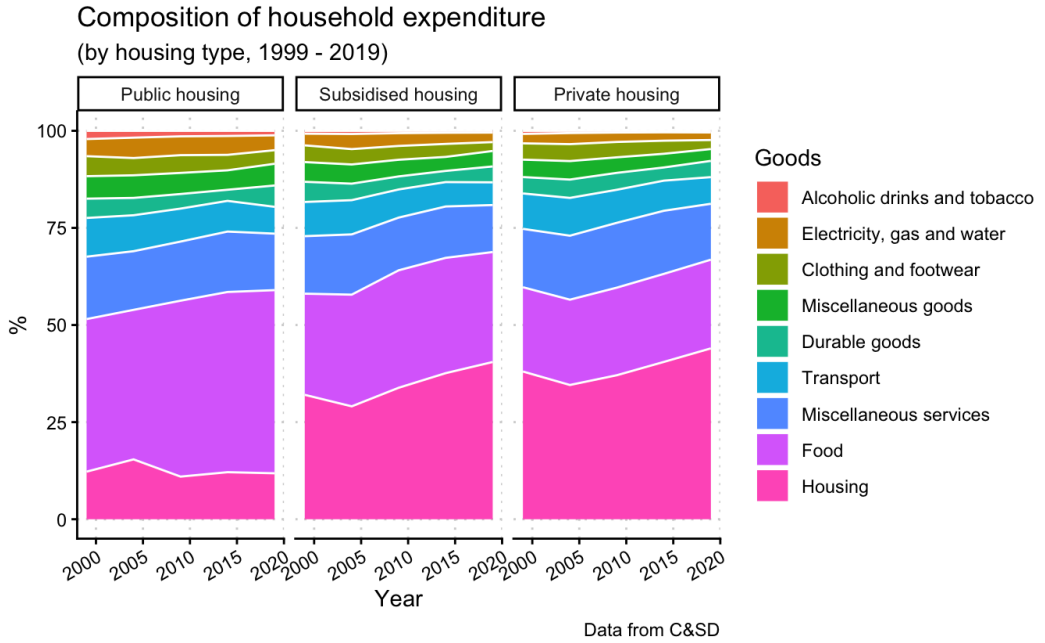


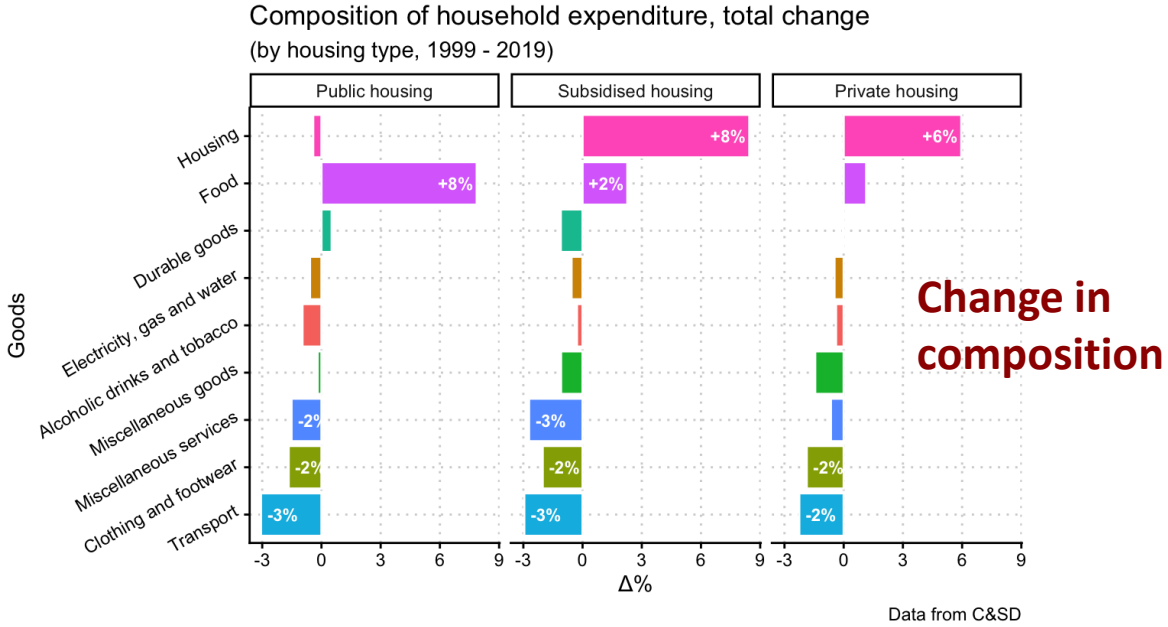
Expenditure largely driven by housing, only public housing tenants remained unaffected

Composition of Household Expenditure by Housing Type

Breakdown by commodity group

- Housing constitute the primary expenditure for private (38-44%) and subsidized (32-40%) housing, whereas public housing maintain significantly lower (12%)
- The higher Housing shares also continued an upward trend in proportions over time (+8%, +6%)
- Food expenditure share is uniquely rising for public housing tenants (+8%)
- Consumption on other commodity groups remains largely uniform, regardless of housing type

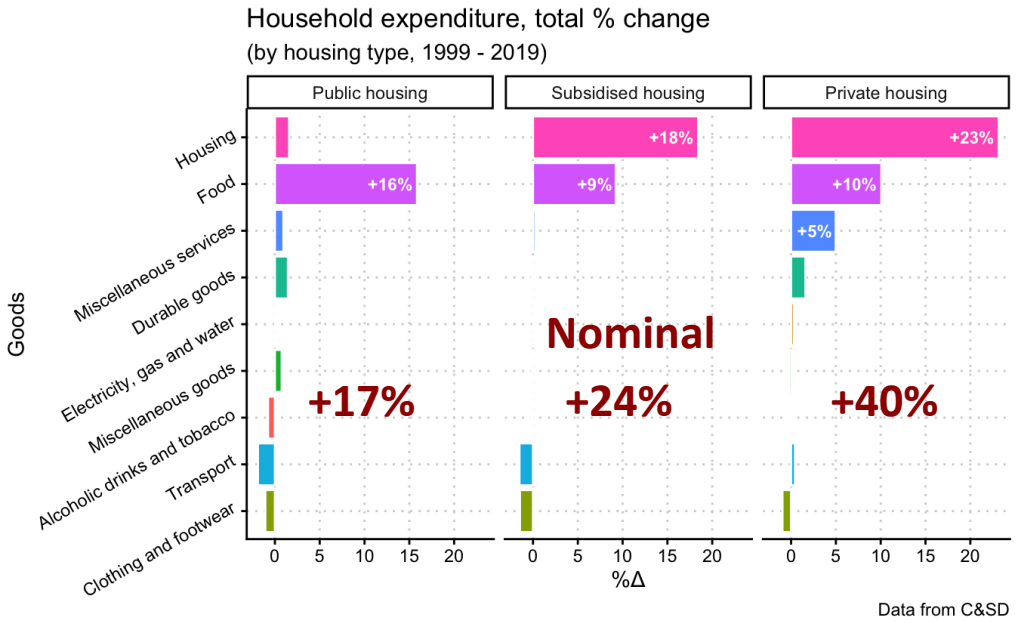


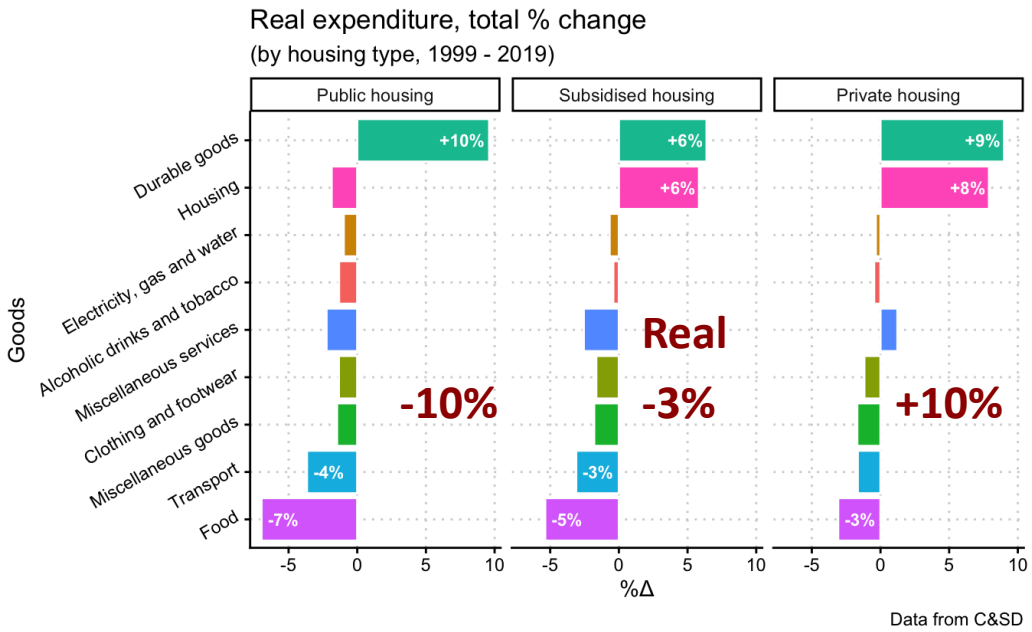


Change in Household Expenditure by Housing Type

Changes across different commodity groups (1999-2019) – nominal vs real

- Adjusting for inflation, public and subsidized housing household actually reduced consumption in by -10% and -3%
- Housing still increased for subsidized and private (+6%, +8%), but change in price still explains more than a half
- All households consumed more in Durable goods (+10%, +6%, +9%), purely attributed to declined price
- Most other categories showed only minor real changes



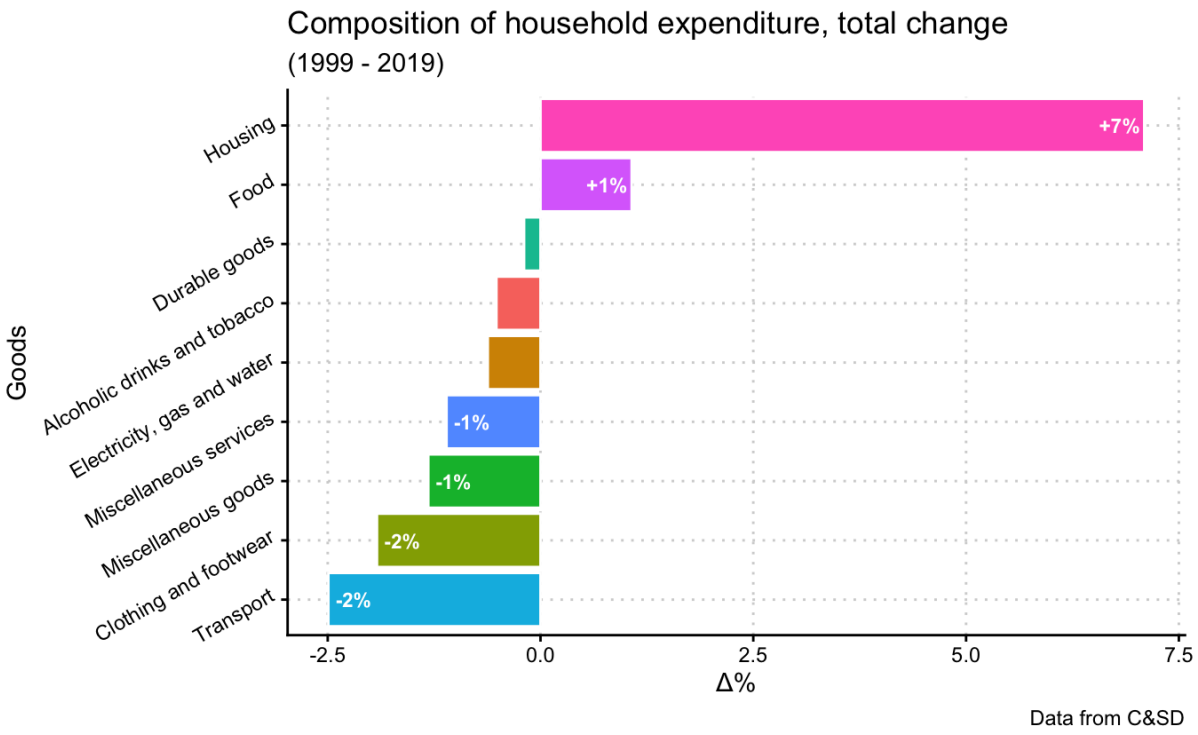


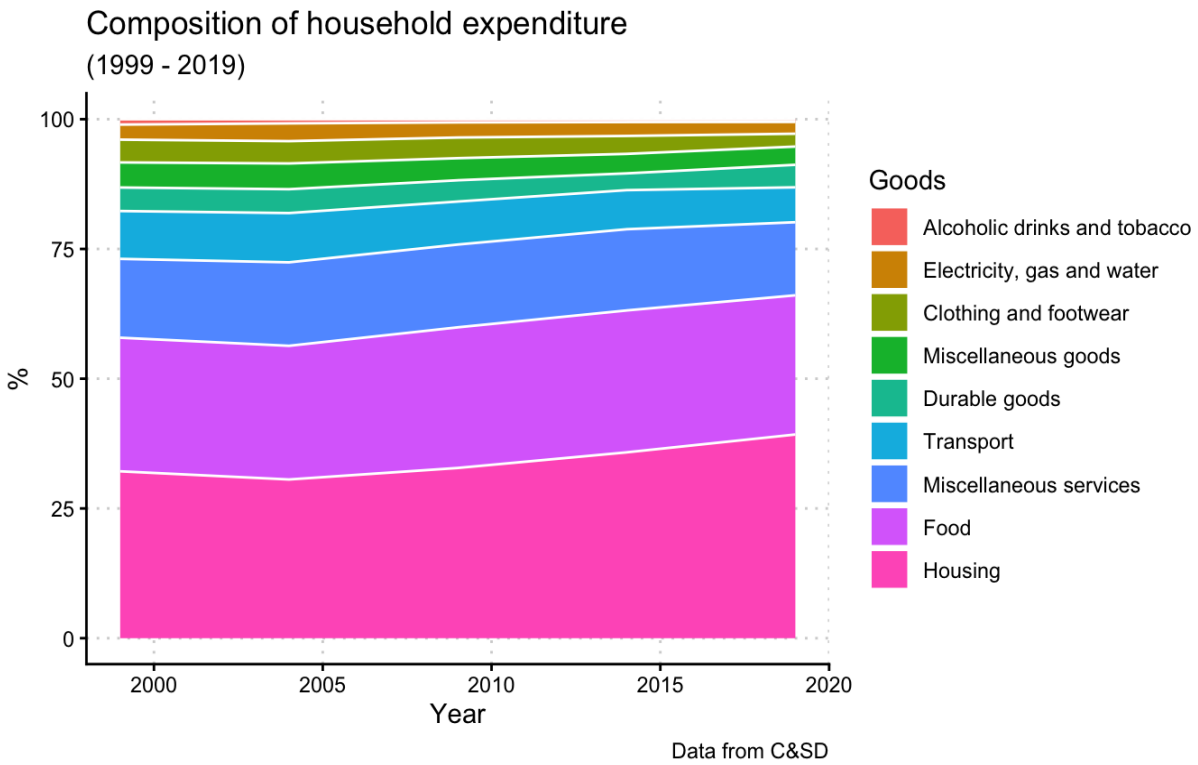
Housing consumption increased in real terms, not driven by price

Comparison

Other places' consumption pattern

- Hong Kong's consumption pattern is different from other Asian places, especially housing expenditure (30-40%).

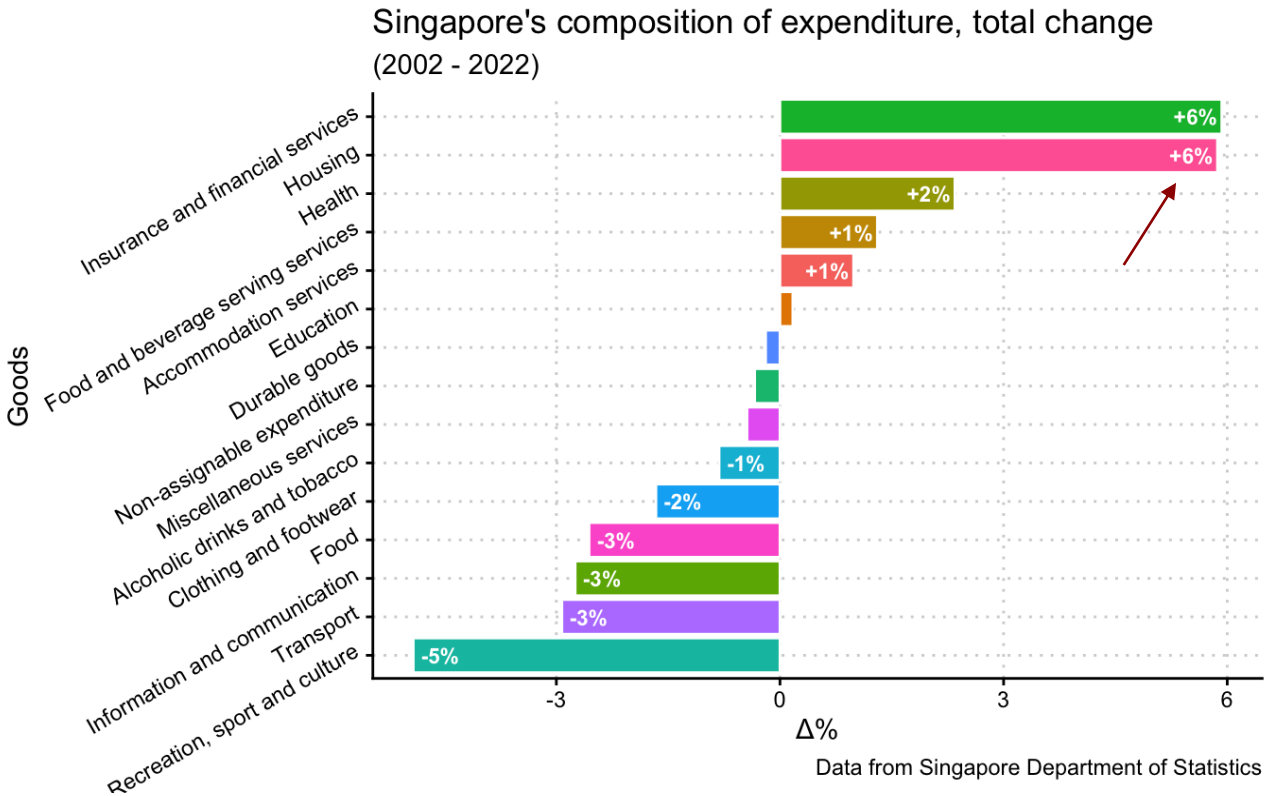


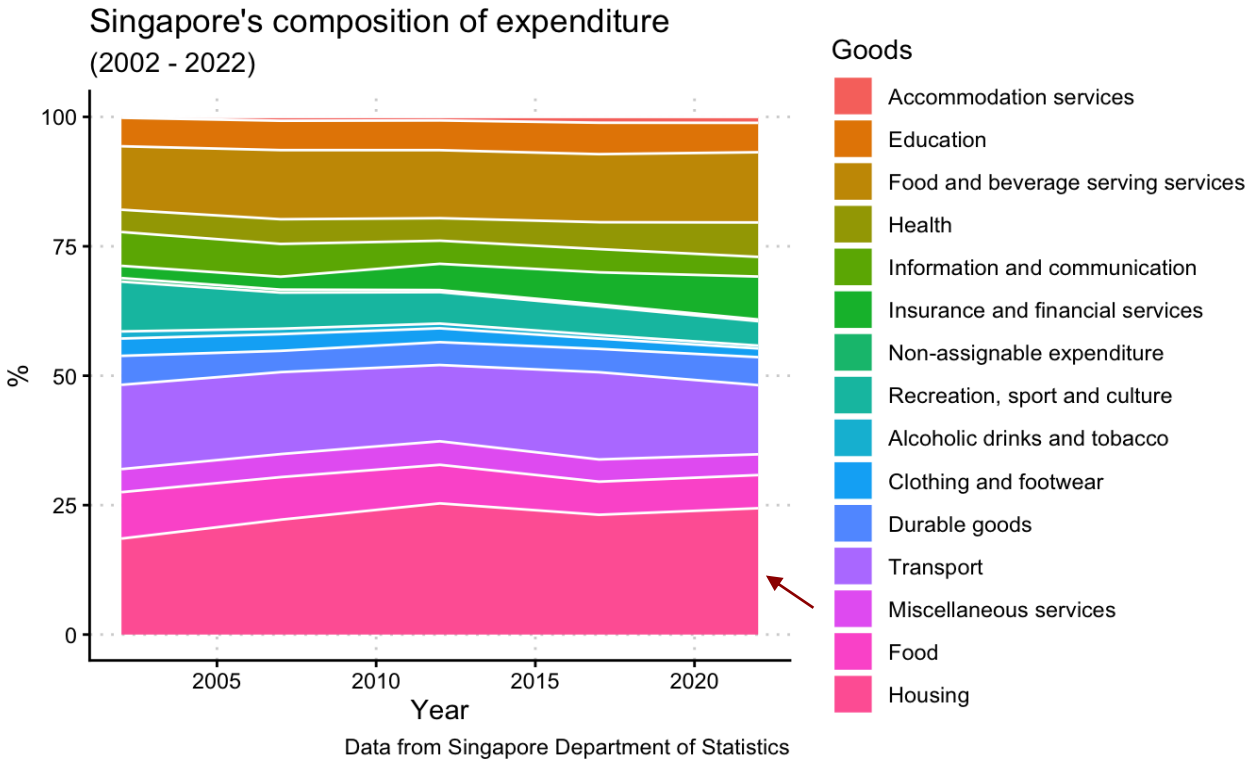


Singapore

Singapore's consumption pattern

- Singapore shows a similar trend of increasing housing expenditure, but the percentage increase is lower (6%)
- While housing expenditure still contributes the most to Singapore's expenditure (18-24%), it is still lower than Hong Kong's by 12-16%

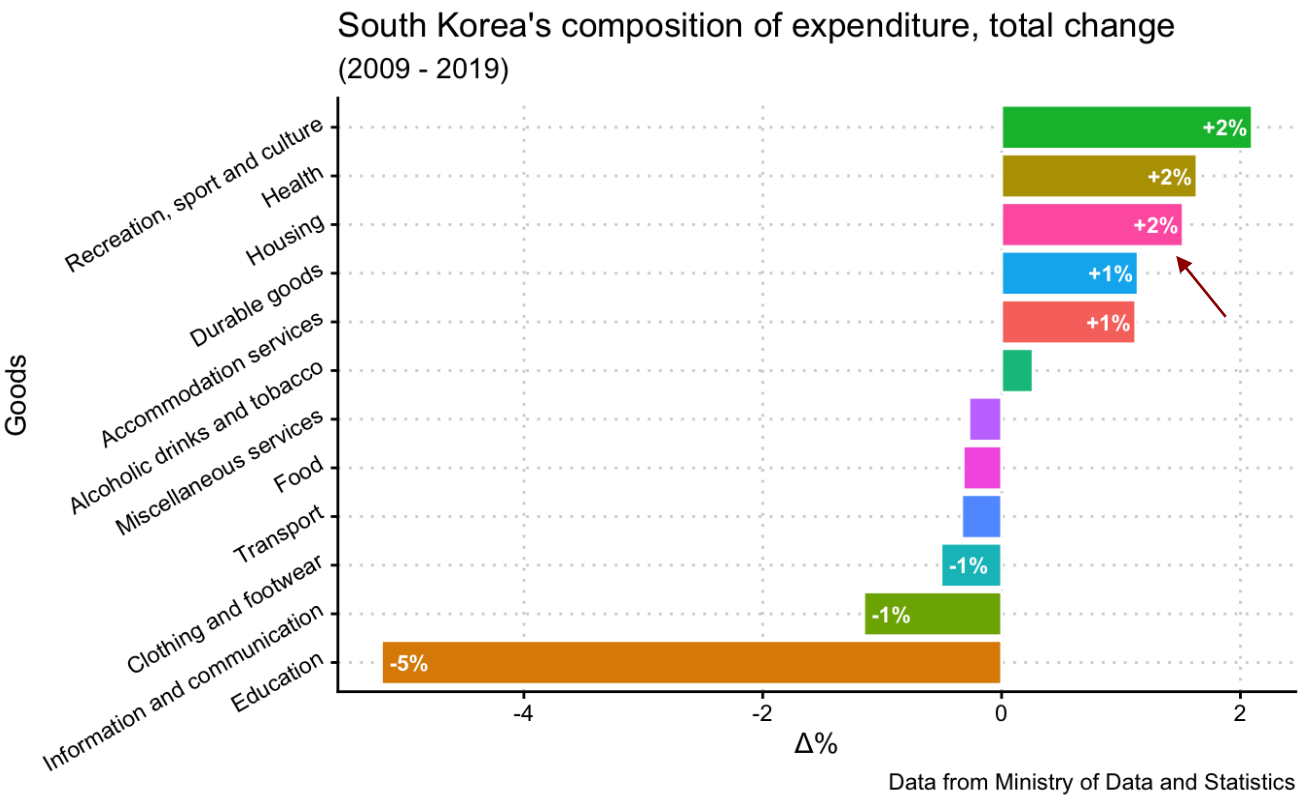


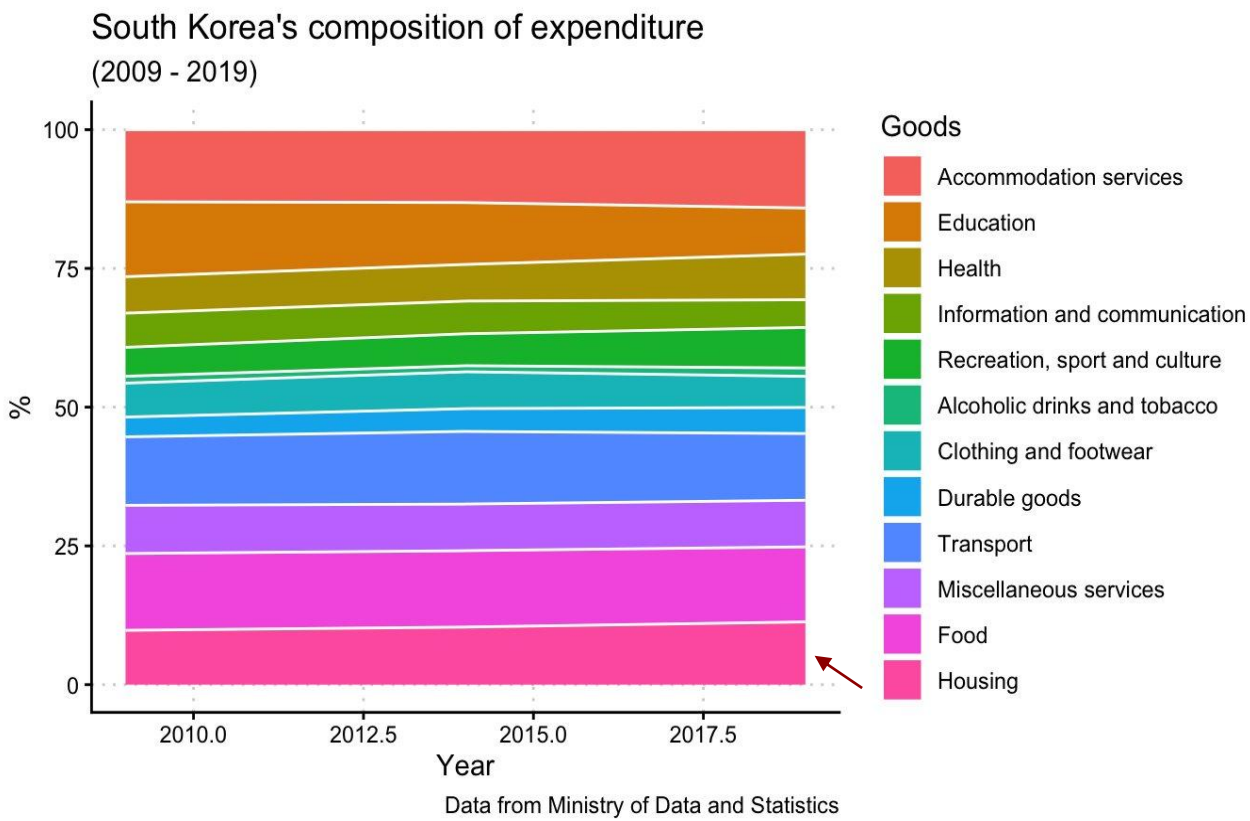


South Korea

Korea's consumption pattern

- South Korea shows a different pattern. The housing expenditure has only increased by 2% throughout the years
- It only contributes to 8-11% of total expenditure.

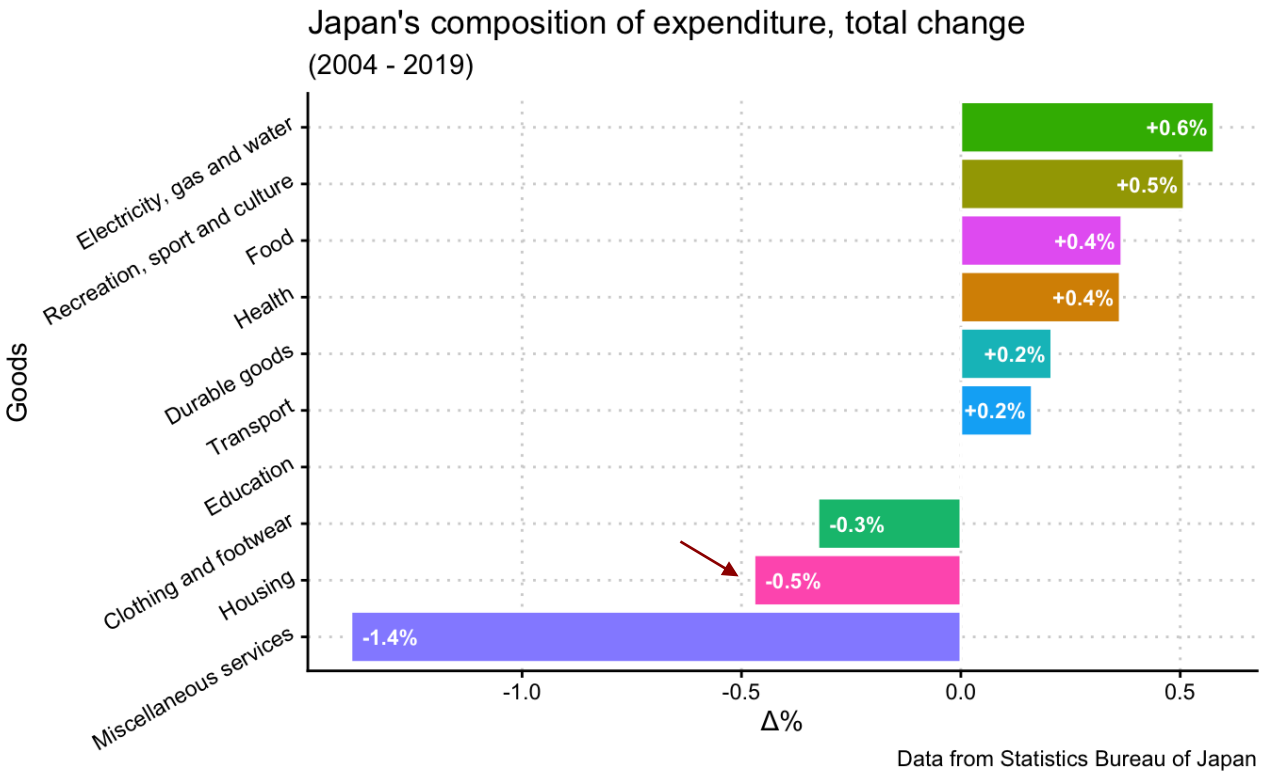


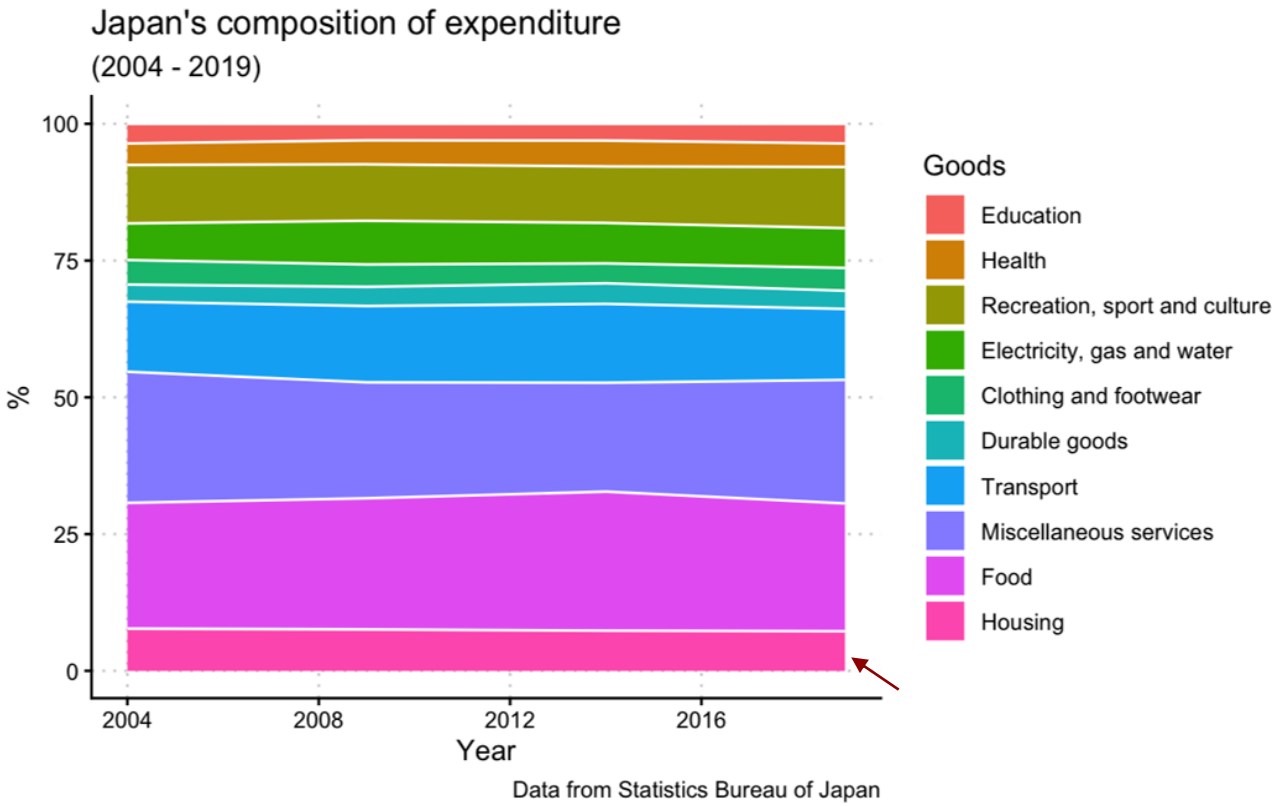


Japan

Japan's consumption pattern

- Japan's expenditure remains relatively unchanged throughout the years.
- The housing expenditure only contributes to less than 8% of total expenditure.

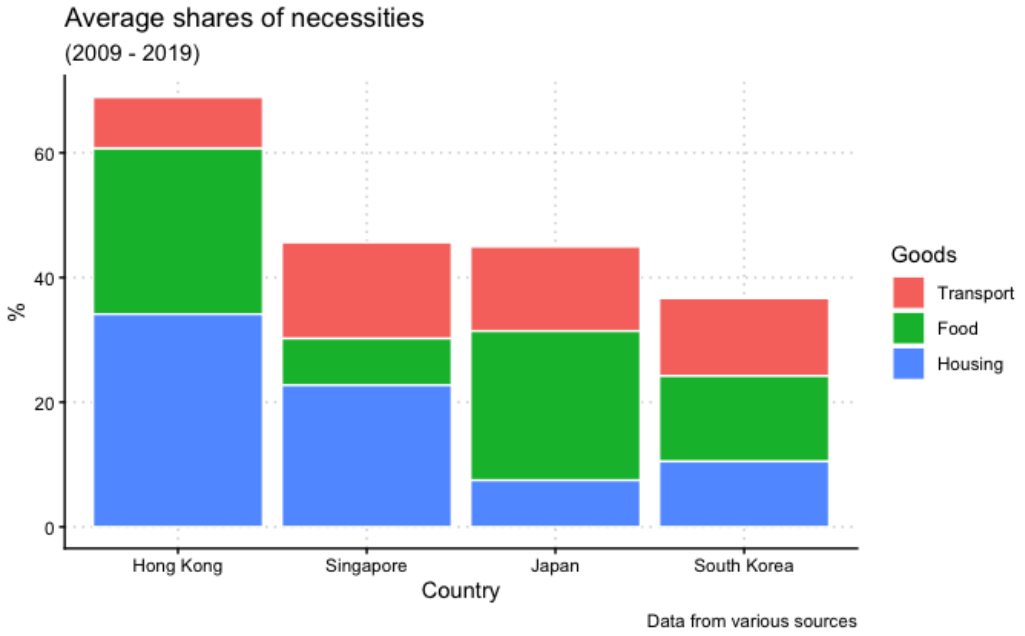


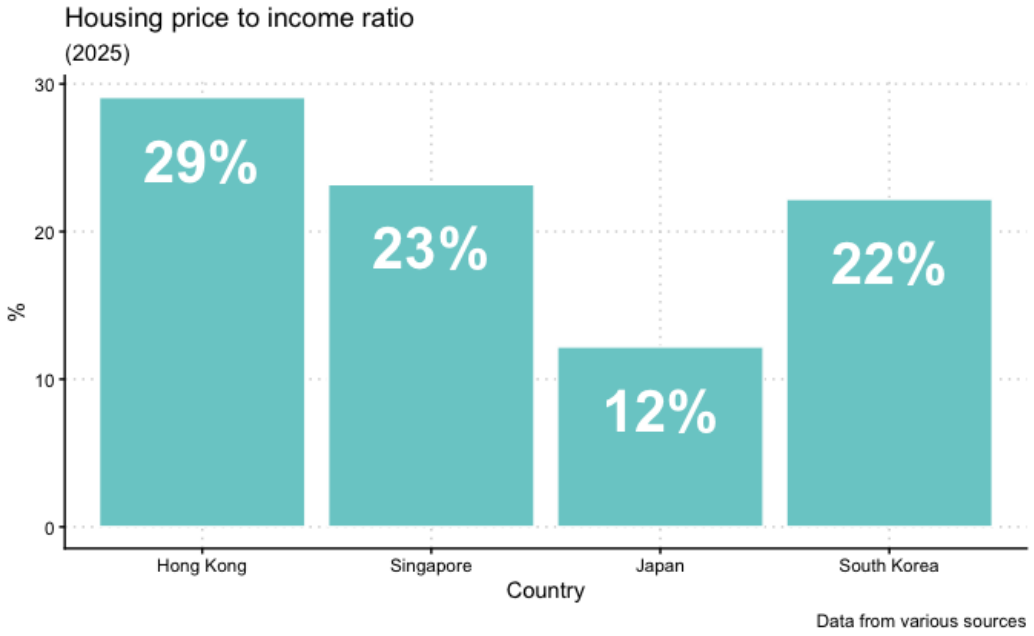


Comparison

Other places' consumption pattern

- Hong Kong's consumption pattern is different from other Asian places, especially in housing expenditure.





Housing expenditure exceeds peer of developed Asian economies and maintains an upward trajectory

5 Chapter Five

Conclusion

Summary of key findings, implications and directions for future research

Consumption pattern in 1999-2019

1. Average household expenditure increased

- Expenditure is primarily propelled by essential costs, especially housing and food
- While most commodity price shifts align with inflationary trends, housing and durable goods represent the only sectors showing growth in real terms

2. Controlled for housing, no significant difference in consumption pattern

- Excluding the public sector, all housing types experienced substantial growth in housing-related expenditure
- Reduced housing expenditure correlates with a higher share of spending on food and other necessities

3. Hong Kong leads peer economies in housing expenditure

- Hong Kong's housing expenditure is the highest in the region and continues to trend upward
- While Singapore follows, Hong Kong remains the outlier in housing unaffordability compared to its Asian peers

Future Research Directions and Policy Implications

1. Drivers of real housing consumption growth

- Investigate how household atomization, population shifts, and changing family structures drive demand.

2. Macro environment impacts on the consumption pattern

- Examines how volatility in the global and local macro-environment (interest rates, trade inflation, and energy costs) filters down to the household level.

3. Policies to address housing affordability

- Housing as the dominant expenditure component and increasing in burden, there is a need to refine existing housing programs to better support those in subsidized and private housing.
- Hong Kong remains an outlier in housing unaffordability compared to other economies like Singapore, Korea and Japan, it is suggested to research on the housing schemes of peer economies.

-End-